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The Smarter Startup

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Financial Reporting for Board Meetings for Early-Stage Startups - Part 2, Reporting Examples

Tips and examples to help you present your startup's financial data to your board of directors with maximum efficiency and impact.

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Welcome to the second installment of a two-part series focused on helping startup founders prepare effective financial reports for board meetings. Also see part one, [Financial Reporting Best Practices](#).

In my previous article, I focused on best practices for building board financial reporting practices. In today's article, I'll share more advanced, tactical guidance for presenting data.

Financial Reporting by Startup Stage

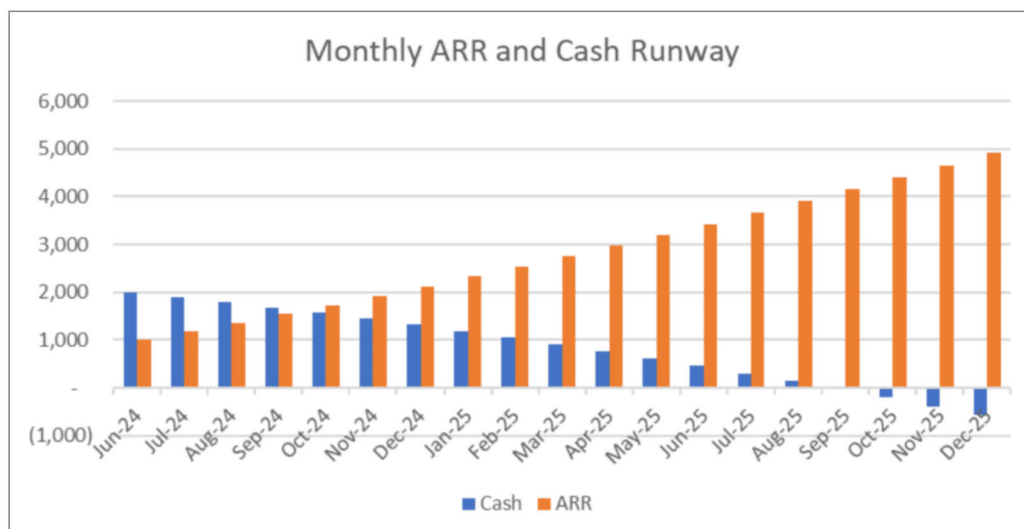
As we saw in [part-one](#), the appropriate reports and key performance indicators (KPIs) will vary depending on your company and industry, but at a minimum, you should include financial statements in your board presentation. As your

company grows, your reporting will need to evolve to reflect new challenges and opportunities. The table below highlights some typical reporting that is included in board financial reporting packages, and how this may vary by the stage of the company.

	Pre-Seed / Pre- Revenue	Seed / Initial Revenue	Series A+
Cash Runway	X	X	X
Headcount	X	X	X
Financial Statement	X	X	X
Revenue		X	X
Key Metrics Reporting		X	X
KPI / Summary Dashboard			X
BVA / Waterfall Reporting			X

Let's take a more detailed look at some examples of the reports listed in the table above.

1. Cash Runway



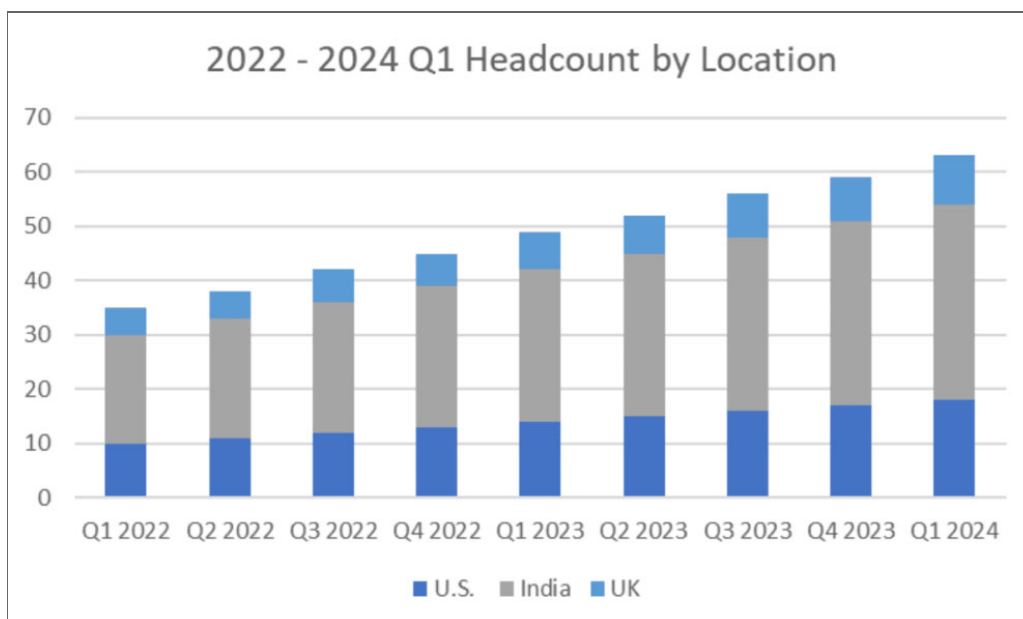
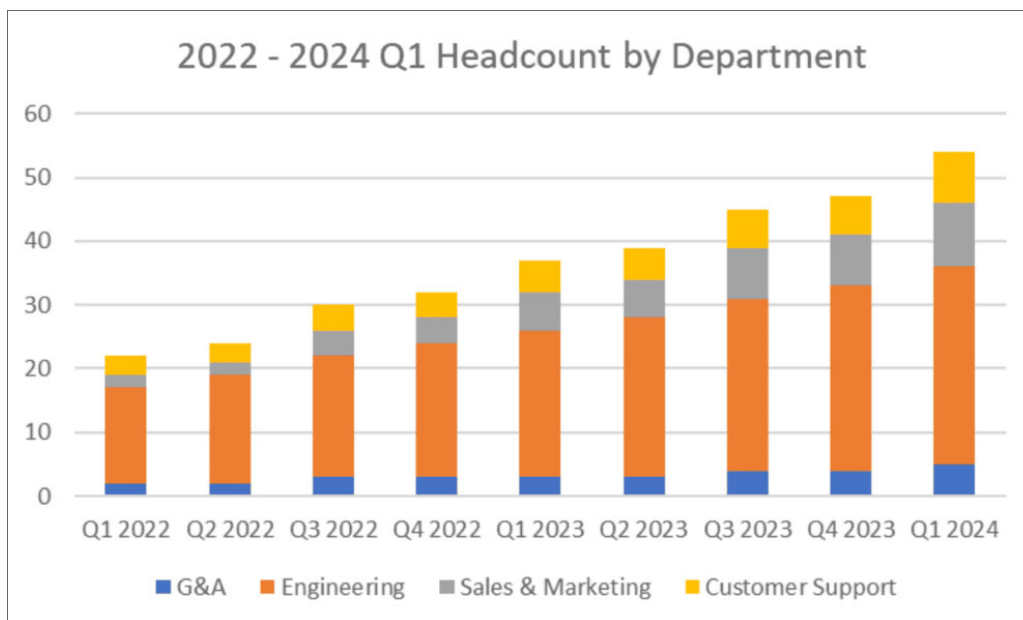
Your cash runway projection should ideally be based on your monthly financial model, but you can also extrapolate based on current monthly cash burn if a monthly forecast isn't available. You need to ensure the timing of your next anticipated fundraise matches with the expected attainment of required milestones. It can be helpful to present your cash runway alongside revenue attainment. This way, you'll have a better sense of whether you will have achieved necessary growth milestones to raise a new round of capital prior to running out of cash.

2. Headcount

For many startups, people costs are the most significant expense category, making headcount a key report at all stages of growth. Boards like to review headcount reports, as staffing is an important lever to manage company expenses.

Tracking headcount can be tricky, as it isn't included as part of the company's accounting records in QBO or similar systems. Most early-stage startups manually track headcount in Excel or Google Sheets and switch to systems-based solutions as they scale. Whatever tools you're using to track headcount, make sure to retain a history. This can be particularly valuable if you decide to change payroll providers.

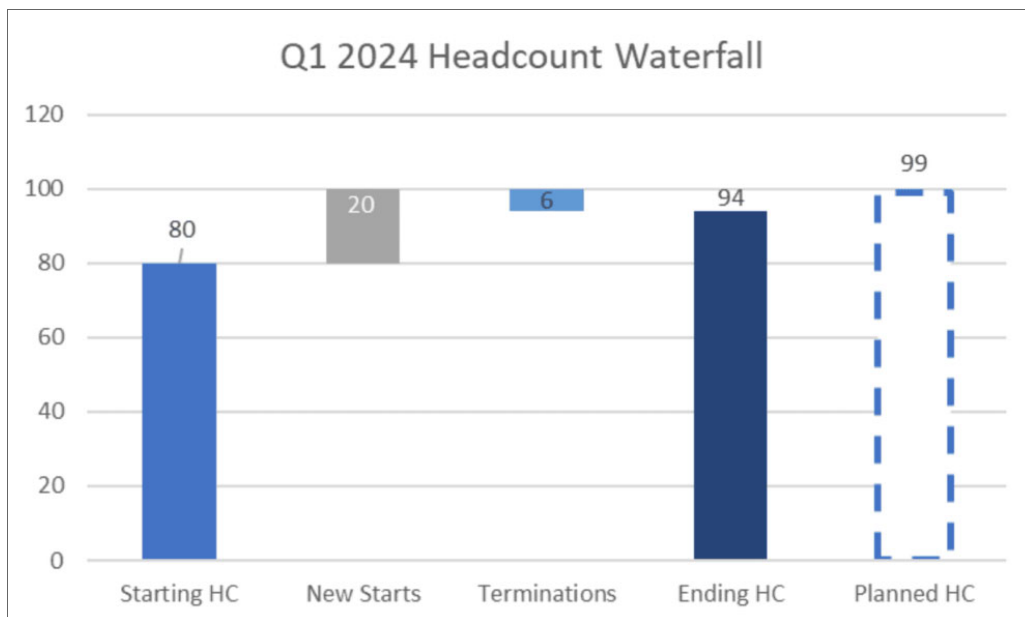
It's often useful to break out headcount reporting by department and/or geography.



It's also helpful to look at both hiring trendlines and comparison to plan.

2023 Actual Headcount vs. Plan

	Q1 2023	Q2 2023	Q3 2023	Q4 2023
<u>Actual</u>				
G&A	4	4	4	4
R&D	24	29	30	30
Sales & Marketing	4	4	5	5
Customer Support	3	3	4	4
Total Headcount	35	40	43	43
<u>Plan</u>				
G&A	4	5	5	5
R&D	23	34	34	34
Sales & Marketing	3	4	4	4
Customer Support	3	3	5	5
Total Headcount	33	46	48	48
<u>Variance to Plan</u>				
G&A	0	-1	-1	-1
Engineering	1	-5	-4	-4
Sales & Marketing	1	0	1	1
Customer Support	0	0	-1	-1
Total Headcount	2	-6	-5	-5



3. Financial Statements

Your board financial reporting package should include your income statement, balance sheet and cash flow statement, presented on a monthly or quarterly basis. Financial statements presented to your board should be summarized from reports pulled from your core financial systems.

Income Statement

	Actual Q1 2023	Actual Q2 2023	Actual Q3 2023	Actual Q4 2023	Actual FY 2023
Income Statement					
Revenue	941,333	1,285,308	1,643,921	1,988,788	5,859,350
Cost of Goods Sold	245,465	283,775	409,758	478,727	1,417,724
Gross Profit	695,869	1,001,534	1,234,163	1,510,061	4,441,626
<i>Gross Margin</i>	<i>74%</i>	<i>78%</i>	<i>75%</i>	<i>76%</i>	<i>76%</i>
R&D Opex	351,201	324,768	939,110	892,324	2,507,403
Sales & Marketing Opex	761,413	989,849	1,366,743	1,501,906	4,619,911
G&A Opex	346,609	333,082	585,868	617,871	1,883,430
Total Operating Expenses	1,459,223	1,647,699	2,891,721	3,012,101	9,010,743
Operating Income	(763,354)	(646,166)	(1,657,558)	(1,502,040)	(4,569,117)
Other Expense / (Income)	38,230	38,940	51,167	56,582	184,919
Net Income (Loss)	(801,584)	(685,106)	(1,708,725)	(1,558,621)	(4,754,036)

Balance Sheet

	Actual Q1 2023	Actual Q2 2023	Actual Q3 2023	Actual Q4 2023	Actual FY 2023
Balance Sheet					
ASSETS					
Cash	8,157,449	7,972,017	6,712,303	6,237,742	6,237,742
Accounts Receivable	1,526,400	1,636,750	2,347,675	1,948,100	1,948,100
Other Current Assets	218,313	218,313	218,313	218,313	218,313
TOTAL ASSETS	9,902,162	9,827,080	9,278,291	8,404,155	8,404,155
LIABILITIES AND EQUITY					
Liabilities					
Accounts Payable	62,061	62,061	62,061	62,061	62,061
Deferred Revenue	2,584,644	3,158,336	4,281,940	4,930,092	4,930,092
Other Current Liabilities	97,595	97,595	97,595	97,595	97,595
Debt	1,911,525	1,947,858	1,984,190	2,020,522	2,020,522
Total Liabilities	4,655,826	5,265,850	6,425,786	7,110,270	7,110,270
Total Equity	5,246,337	4,561,231	2,852,506	1,293,884	1,293,884
Total Liabilities and Equity	9,902,163	9,827,080	9,278,291	8,404,155	8,404,155

Cash Flow

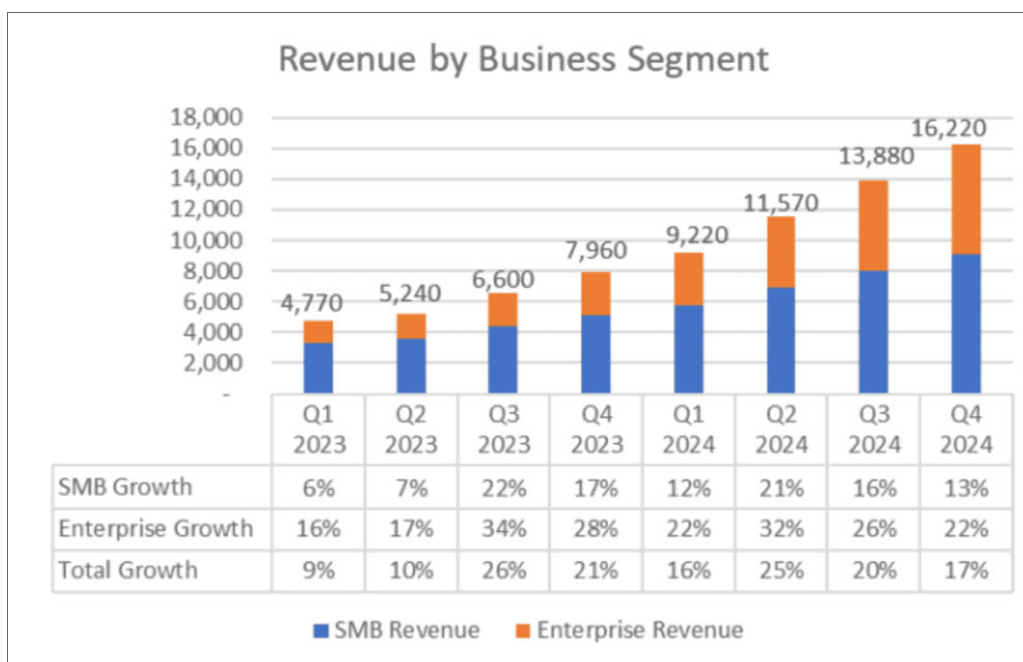
	Actual Q1 2023	Actual Q2 2023	Actual Q3 2023	Actual Q4 2023	Actual FY 2023
Cash Flow					
Net Income	(801,584)	(685,106)	(1,708,725)	(1,558,621)	(4,754,036)
Adjustments to reconcile net income/(loss) to cash flow from operating activities					
Δ in Working Capital/Other/Adjust	(708,253)	(74,018)	(674,593)	435,907	(1,020,956)
Δ in Deferred Revenue	755,067	573,692	1,123,604	648,152	3,100,515
Cash Flow from Operating Activities	(754,770)	(185,432)	(1,259,714)	(474,562)	(2,674,478)
Debt	-	-	-	-	-
Capital Raise	-	-	-	-	-
Cash Flow from Financing Activities	-	-	-	-	-
Δ in Cash	(754,770)	(185,432)	(1,259,714)	(474,562)	(2,674,478)
Cash Balance - Beginning of Period	8,912,219	8,157,449	7,972,017	6,712,303	8,912,219
Cash Balance - End of Period	8,157,449	7,972,017	6,712,303	6,237,742	6,237,742

It's essential to implement [accrual accounting](#) procedures and ensure you maintain an appropriate chart of accounts that breaks out the following key income statement metrics: Revenue, Cost of Sales, Gross Profit, Opex, Operating Income, and Net Income. Your Opex should ideally be segmented between R&D, G&A, and S&M expenses. This requires your accounting system to be set up to break out department expenses.

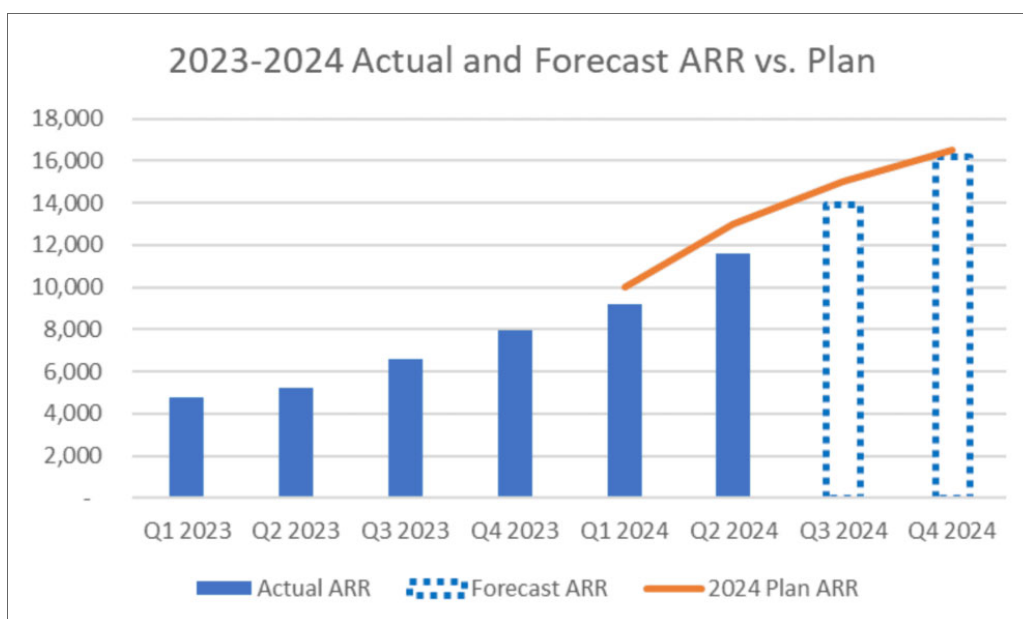
4. Revenue

If your startup is generating revenue, show revenue and revenue growth segmented by relevant categories. It's often helpful to present your revenue data in line or bar graphs to visually show trendlines of revenue growth over time. Add commentary regarding growth drivers (e.g., key accounts closed), variances to planned growth, and upticks/downticks in growth rates.

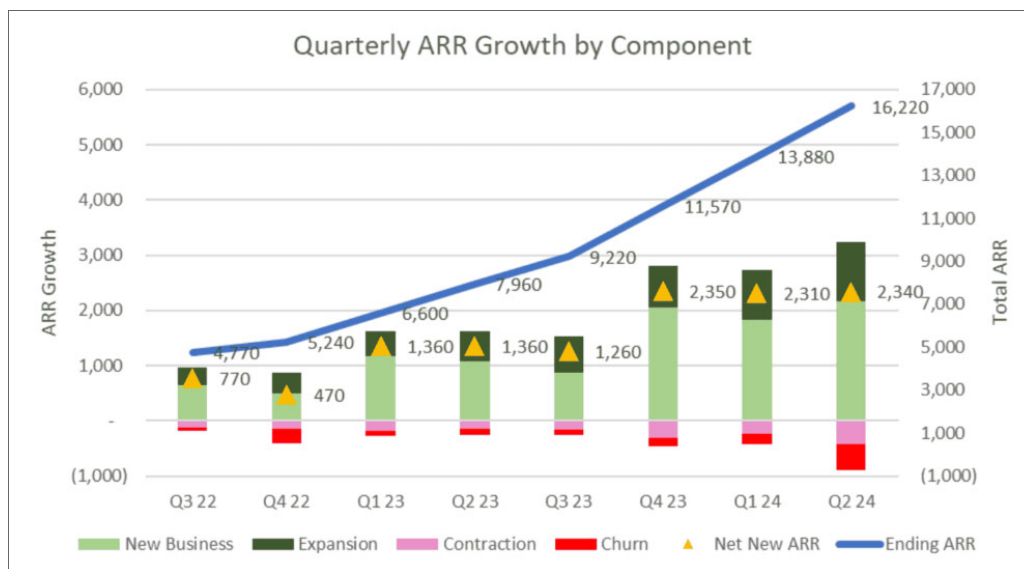
Useful breakouts often include business/product segments or geographic areas, and it can be helpful to add growth rates.



It can be helpful to add reference points such as performance vs. plan.



For SaaS companies, it's often better to look at ARR than Revenue, and it can be helpful to break out the components of ARR growth (e.g. new business, expansion, contraction, churn)



5. KPI / Summary Dashboard

As your company grows, it becomes helpful to share KPI dashboards at your board meetings.

If your executive team uses a KPI dashboard, it is helpful to share that with the board.



It can be helpful to include a summary dashboard of performance against the most important KPIs in the introduction to the board deck or at the beginning of the finance reporting section.

Summary Dashboard					
	2023 Actual	2022 Actual	2023 vs. 2022	2023 Plan	vs. Plan
ARR (\$000s)	\$12,500	\$5,500	+127%	\$11,500	+\$1,000
# Customers	100	55	+45	95	+5
Gross Margin	80%	78%	+2ppt	82%	-2ppt
FTE	85	50	+35	90	-5
Ending Cash (\$000s)	\$12,500	\$5,000	+\$7,500	\$12,000	+\$500

6. Budget vs. Actual (BVA) Reporting

If your company has a financial plan (budget), it can be useful to review financial performance YTD in comparison to the YTD plan and explain the drivers of variances.

Quarterly P&L and FY P&L vs. Plan

(000s)	Actual Q1 FY23	Actual Q2 FY23	Actual Q3 FY23	Actual Q4 FY23	Variance QoQ\$	Act YTD Dec-23	Plan YTD Dec-23	Var YTD
Total Revenue	2,600	2,700	2,900	3,300	400	11,500	11,000	500
% vs. prior period	2%	4%	7%	14%				
Cost of Goods Sold	500	500	500	600	100	2,100	1,900	200
Gross Profit	2,100	2,200	2,400	2,700	300	9,400	9,100	300
% of Revenue	80.8%	81.5%	82.8%	81.8%	-0.9%	81.7%	82.7%	-1.0%
Operating Expenses								
R&D	800	900	1,000	1,100	100	3,800	4,000	(200)
S&M	900	1,100	1,600	1,900	300	5,500	5,000	500
G&A	300	500	400	500	100	1,700	1,700	-
Total Operating Expenses	2,000	2,500	3,000	3,500	500	11,000	10,700	300
Operating Income	100	(300)	(600)	(800)	(200)	(1,600)	(1,600)	-
% of Revenue	3.8%	-11.1%	-20.7%	-24.2%	-3.6%	-13.9%	-14.5%	0.6%
Interest Expense	50	50	50	50	-	200	200	-
Other Expense / (Income)	(100)	(100)	(100)	(100)	-	(400)	(100)	(300)
Net Income	150	(250)	(550)	(750)	(200)	(1,400)	(1,700)	300
% of Revenue	6%	-9%	-19%	-23%	-4%	-12%	-15%	3.3%

Commentary:

- Revenue growth accelerating during year with particularly strong Q4 growth, beating revenue plan by \$500K
- Below plan gross margin due to accelerated hiring of customer service leader.
- Above plan opex driven by higher sales commissions, partially offset by delayed Engineering hiring
- Higher than plan interest income

If you update your full-year forecast intra-year, it's also helpful to compare the updated full-year forecast to the plan. It typically

makes sense to include BVA reporting on your income statement. It can also be helpful to show BVA for cash flow or at least ending cash balances.

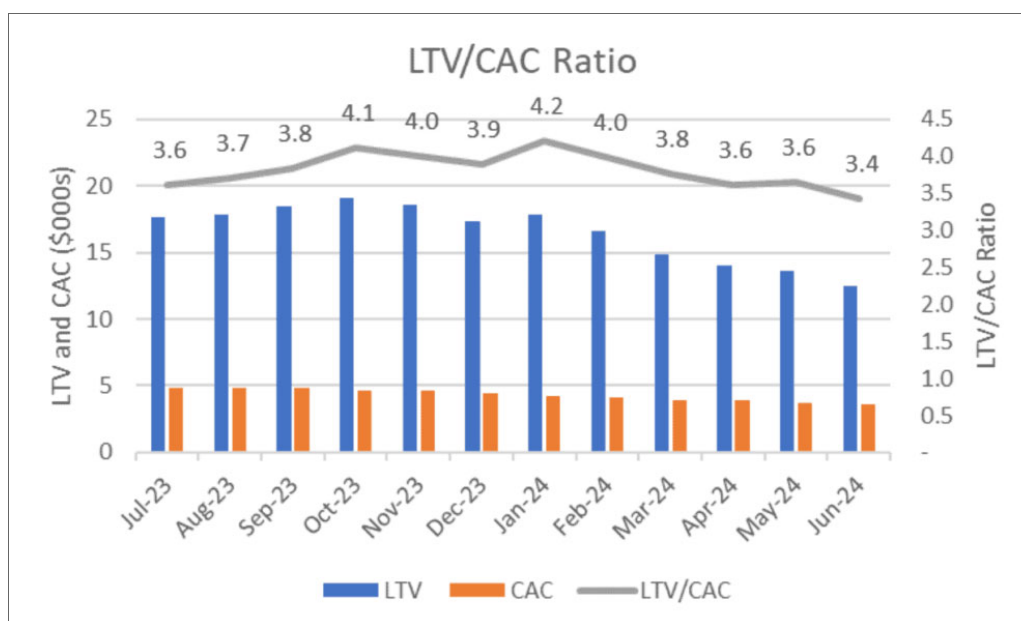
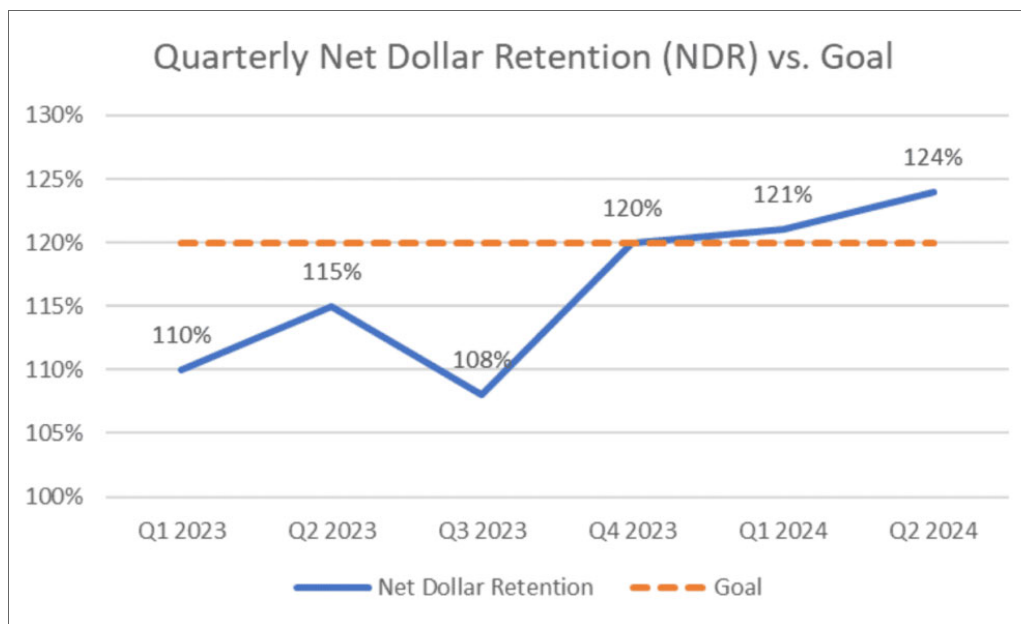
	H1 2024 Act	H1 2024 Plan	Variance	Commentary
Income Statement				
Revenue	1,700,000	1,600,000	100,000	Closed 3 new deals vs. 2 deals planned
Cost of Goods Sold	476,000	432,000	44,000	Above plan hosting cost + accelerated CS hiring
Gross Profit	1,224,000	1,168,000	56,000	
<i>Gross Margin</i>	72%	73%	-1%	Lower margin due to accelerated CS hiring
R&D Opex	1,000,000	1,050,000	(50,000)	Delayed hiring
Sales & Marketing Opex	1,200,000	1,150,000	50,000	Higher than planned commission
G&A Opex	600,000	575,000	25,000	Higher contract-driven legal expense
Total Operating Expenses	2,800,000	2,775,000	25,000	
Operating Income	(1,576,000)	(1,607,000)	31,000	
Other Expense / (Income)	196,770	196,770	-	Interest expense in line with plan
Net Income (Loss)	(1,772,770)	(1,803,770)	31,000	

A waterfall analysis is another variant of BVA reporting that tracks monthly/quarterly performance and forecast movements over time. It's helpful to prepare waterfall schedules for key financial metrics (e.g. ARR, Revenue, Expenses, Cash).

2024 financial plan	Revenue (\$000s)	Jan-24	Feb-24	Mar-24	Apr-24	May-24	Jun-24	Jul-24	Aug-24	Sep-24	Oct-24	Nov-24	Dec-24	FY 2024
	FY 2024 Plan	500	525	550	575	600	625	650	675	700	725	750	775	7,650
Monthly 2024 forecast updates: blue cells are actual results and white cells are the latest forecast	Feb-24	495	525	550	575	600	625	650	675	700	725	750	775	7,645
	Mar-24	495	550	550	575	600	625	650	675	700	725	750	775	7,670
	Apr-24	495	550	575	600	625	650	675	700	725	750	775	800	7,920
	May-24	495	550	575	600	625	650	675	700	725	750	775	800	7,920
	Jun-24	495	550	575	600	675	700	725	750	775	800	825	850	8,320
	Jul-24	495	550	575	600	675	725	750	775	800	825	850	875	8,495
Variance between actual results and/or latest forecast for each month of 2024	FY 2024 Actual/FCST vs. Plan	-5	25	25	25	75	100	100	100	100	100	100	100	845

7. Key Metrics Reporting

Finally, be sure to present trends for other key metrics relevant to your company and industry.



Monthly SaaS Metrics												
(\$000s, except ARPA)												
	Actual Jul-23	Actual Aug-23	Actual ####	Actual Oct-23	Actual Nov-23	Actual Dec-23	Actual Jan-24	Actual Feb-24	Actual Mar-24	Actual Apr-24	Actual May-24	Actual Jun-24
ARR \$												
Beginning ARR	\$15,900	\$16,300	\$16,800	\$17,200	\$17,400	\$17,900	\$18,400	\$18,800	\$19,000	\$19,200	\$19,300	\$19,400
New ARR	200	300	200	200	200	200	200	200	200	200	200	200
Expansion ARR	1,100	500	500	500	500	600	500	300	300	400	400	500
Contraction ARR	(300)	(200)	(200)	(300)	(100)	(100)	(200)	(200)	(200)	(400)	(400)	(300)
Account Churn ARR	(600)	(100)	(100)	(200)	(100)	(200)	(100)	(100)	(100)	(100)	(100)	(100)
NetARR Growth	400	500	400	200	500	500	400	200	200	100	100	300
% Monthly Growth	3%	3%	2%	1%	3%	3%	2%	1%	1%	1%	1%	2%
Ending ARR	\$16,300	\$16,800	\$17,200	\$17,400	\$17,900	\$18,400	\$18,800	\$19,000	\$19,200	\$19,300	\$19,400	\$19,700
% Growth vs. PY	21%	20%	19%	21%	19%	21%	20%	19%	21%	19%	21%	20%
Net Revenue Retention (NRR)	108%	108%	109%	108%	108%	107%	110%	111%	110%	108%	108%	108%
Gross Revenue Retention (GRR)	93%	91%	91%	91%	90%	90%	90%	92%	91%	91%	90%	90%
Customers												
Beginning Customers	4,100	4,110	4,200	4,250	4,400	4,470	4,540	4,590	4,650	4,760	4,740	4,770
New Customers	170	250	210	280	220	270	260	250	310	180	210	260
Lost Customers	(160)	(160)	(160)	(130)	(150)	(200)	(210)	(190)	(200)	(200)	(180)	(220)
Net Customer Growth	10	90	50	150	70	70	50	60	110	(20)	30	40
Ending Customers	4,110	4,200	4,250	4,400	4,470	4,540	4,590	4,650	4,760	4,740	4,770	4,810
Logo Retention	87%	86%	85%	85%	85%	85%	84%	85%	85%	84%	84%	85%
ARPA - Total Accounts	\$ 3,966	\$ 4,000	\$ 4,047	\$ 3,955	\$ 4,004	\$ 4,053	\$ 4,096	\$ 4,086	\$ 4,034	\$ 4,072	\$ 4,067	\$ 4,096
ARPA - New Accounts	\$ 1,176	\$ 1,200	\$ 952	\$ 714	\$ 909	\$ 741	\$ 769	\$ 800	\$ 645	\$ 1,111	\$ 952	\$ 769
SaaS Metrics - LTM Basis												
LTV	\$17,614	\$17,859	\$18,431	\$19,069	\$18,613	\$17,315	\$17,886	\$16,622	\$14,881	\$14,034	\$13,570	\$12,459
CAC	\$4,880	\$4,811	\$4,814	\$4,640	\$4,641	\$4,446	\$4,250	\$4,172	\$3,961	\$3,892	\$3,722	\$3,635
LTV/CAC Ratio	3.61	3.71	3.83	4.11	4.01	3.89	4.21	3.98	3.76	3.61	3.65	3.43
CAC Payback Period (Months)	35	34	33	34	34	34	33	34	34	34	33	34

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